BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
ALLAHABAD BENCH,
PRAYAGRAJ

CA (CAA) NO. 12/ALD/2023
(First Motion)
(Under Section 230 read with Section 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

GAJBADAN HOTELS AND RESORTS PRIVATE LIMITED

Having its Registered Office at:

Plot No.28B, Nand Nagar Industrial Estate, Phase 1 Mahukheraganj, Aliganj Road, Kashipur, Udham Singh Nagar, Uttarakhand-244713

TRANSFEROR COMPANY NO.1/APPLICANT COMPANY NO.1

VINAYAK INVESTMENT ADVISORY PRIVATE LIMITED

Having its Registered Office at:

Plot No.28B, Nand Nagar Industrial Estate, Phase 1st Mahukheraganj, Aliganj Road, Kashipur Udham Singh Nagar, Uttarakhand-244713

TRANSFEROR COMPANY NO.2 / APPLICANT COMPANY NO.2

WITH

LOKHDRUSHTI INDUSTRIES PRIVATE LIMITED

Having its Registered Office:

28B, Nandnagar Industrial Estate, Kashipur Udham Singh Nagar, Uttarakhand-244713

TRANSFEREE COMPANY/ APPLICANT COMPANY NO.3

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Order delivered on: 02.06.2023

CORAM:

Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

Physically Present:-

For the Applicant Companies : Sh. Anurup Dutta alongwith Sh. Anang Kumar Shandilya, Advocates

ORDER

1. This is a joint first motion application filed by the applicant companies namely-**Gajbadan Hotels and Resorts Private Limited**-(Transferor Company No.1/Applicant Company No.1); **Vinayak INVESTMENT Advisory Private Limited-**(Transferor Company No.2/Applicant Company No.2) with **Lokdrushti Industries Private Limited-**(Transferee Company/Applicant Company No.3) under Sections 230 & 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Amalgamation of **Gajbadan Hotels and Resorts Private Limited, Vinayak investment Advisory Private Limited with Lokdrushti Industries Private Limited.** The said

Scheme is attached as Annexure-1 in VOL-1 at Page No.97 to 143 of the Application.

2. The Applicant Companies have prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders, Preference shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies.

3. The Applicant Company No. 1 is engaged in to carry on business as exporters, manufacturers, importers, fabricators, buyers and sellers and dealers in all kinds of polymers, plastic raw materials and products, PVC products, multi-layer polythene goods, kitchen goods and consumer goods, chemical including soda ash, caustic soda, sulphuric, acid, etc.

4. The Applicant Company No. 2 is engaged in the business of providing financial services, advisory and consultancy services and facilities of every description capable of being provided by shares and stock brokers, share and jobbers shares dealers, investment and fund managers and to arrange and sponsor public and private issue of placement of

shares and loan capital and to negotiate and underwrite such issue etc.

5. The Applicant Company No. 3 is engaged to carry on the business as exporters, manufacturers, importers, fabricators, buyers, sellers, traders and dealers in various kinds of goods and materials including polymers, plastic raw materials and products, PVC products, multi-layer polythene goods, kitchen goods and consumer goods and other goods and materials.

6. It is submitted that the registered offices of all the applicant companies are situated in the State of Uttar Pradesh. Hence, the jurisdiction of applicant companies lie with this Hon'ble Bench.

7. The rationale of the Scheme is given below.

a. Achieving business and administrative synergies.

b. Cost savings/synergies resulting from rationalization.
standardization and simplification of business processes.

c. Improved business capabilities arising from pooling of financial resources.

d. Economies of scale of administrative and operational cost, duplication of costs of administration, distribution, selling and marketing and reduction in legal and regulatory compliances.

e. Maximization of shareholders value by strengthening core competencies of combined business efforts**.**

8. It is stated that the Board of Directors of the Applicant Companies in their respective meetings held on 28.03.2023 have considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Companies are all annexed with the Application as Annexure No.7/Vol.2 and Annexure No.15/Vol.3 respectively, with the application.

9. The appointed date of the Scheme is 01.04.2023 as mentioned in the Para. 1.1(b) in Part I under definition of the Scheme of Amalgamation at Page No.106 in Vol.1 which is annexed as Annexure No.1 with the application.

10. It is stated that the Applicant Companies 1 and 2 have filed their Audited Financial Statements as on 31.03.2022 and have also filed their Un-Audited Financial Statements (provisional) as on 31.12.2022 and the same are annexed together as Annexure No.5/Vol.2 and Annexure No.6/Vol.2 respectively, with the Application.

11. The Applicant Company 3 is newly incorporated hence, there is no audited financial statement but it has filed its Un-Audited Financial Statements (provisional) as on 31.12.2022 which is annexed as Annexure No.14/Vol.2 with the Application.

12. It has been stated that in terms of the provisions of Section 230(7) and Section 232(3) of the Act the Applicant Companies have filed Certificates dated 28.03.2023 which are issued by their respective Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Act and the same are annexed as Annexure No.20/Vol.3 with Application.

13. It is has been further stated that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme

of Amalgamation has been issued by Alphavalue Consulting Valuation LLP, Registered Valuer in respect of Securities or Financial Assets with the Insolvency and Bankruptcy Board of India (IBBI) vide registration No. IBBI/RV-E/05/2021/151 and the same is annexed as Annexure No.21/Vol.3 with the Application.

14. It is stated that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Paragraph 7 of the Part II of the Scheme (Annexure – 1/Vol.1) of this application.

15. It is also submitted and deposed that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against any of the Applicant Companies. Further it is also submitted that no winding up application has been filed against any of the Applicant Companies and there are no liquidation proceedings against any of the Applicant Companies and none of the Applicant Companies are facing any CIRP process nor any of Applicant Companies have been struck off from Registrar of Companies.

16. The applicant companies have furnished the following documents: -

a) Audited Financial Statements as on 31.03.2022 and have also filed their Un-Audited Financial Statements (provisional) as on 31.12.2022 of Applicant companies 1 and 2 and the same are annexed together as Annexure No.5/Vol.2 and Annexure No.6/Vol.2 respectively, with the Application.

b) Un-Audited Financial Statements (provisional) as on 31.12.2022 of Applicant company 3 and the same is annexed as Annexure No.14/Vol.3, with the Application.

c) List of Equity Shareholders of applicant companies duly certified by the Chartered Accountant along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure No.9/Vol.2, Annexure No.10/Vol.2, Annexure No.17/Vol.3, Annexure 18/Vol. 3 respectively, with the Application.).

d) List of Secured Creditors and Unsecured Creditors of the applicant companies duly certified by the Chartered Accountant (Annexure No.11/Vol.2 and Annexure19/Vol 3 with the Application.).

e) Certified true copy of extract of the minutes of the board resolution of the applicant companies approving the Scheme (Annexure No.7/Vol.2; and Annexure No.15/Vol.3 respectively, with the application).

f) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of equity share (Annexure No.21/Vol.3 with the Application.).

f) Proposed Scheme of Amalgamation (Annexure No.1/Vol.1 with the Application.).

g) Certificates of Statutory Auditors to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure No.20/Vol.3 with the Application.).

17. That the Applicant Companies have furnished the details of the Equity and preference Shareholders, Secured Creditors and Unsecured Creditors along with their consent affidavits, as the case may be, as per the following detail:

Company	No. of Equity Share holders	Consent Given	No. of Preference Share holders	Consent Given	No. of Secured Creditors	Consent Given	No. of Un-secured Creditors	Consent Given
Transferor Company No.1/ Applicant Company No.1	03	03 **(100%)**	NIL	**NA**	NIL	**NA**	NIL	**NA**
Transferor Company No.2 / Applicant Company No.2	03	03 **(100%)**	NIL	**NA**	NIL	**NA**	01	01 **(100%)**
Transferee Company/ Applicant Company No.3	03	03 **(100%)**	NIL	**NA**	NIL	**NA**	NIL	**NA**

18. The Ld. Counsel of the applicant companies thus prayed that this Tribunal may be pleased to dispense with convening and holding of the meeting of the equity shareholders, the Preference Shareholder, the Secured and unsecured creditors of all the Applicant Companies.

Heard the arguments of the Learned Counsel for the Applicant Companies and perused the documents annexed to the application.

19. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Transferor Company No 1 /Applicant Company No.1:

a) The meeting of the Equity Shareholders of Transferor Company No.1/Applicant Company No. 1 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Preference Shareholders in the Transferor Company No.1/Applicant Company No. 1, the requirement of convening the meeting Secured Creditors does not arise.

c) Since, there are no Secured Creditors in the Transferor Company No.1/Applicant Company No. 1, the requirement of convening the meeting Secured Creditors does not arise.

d) Since, there are no Unsecured Creditors in the Transferor Company No 2/ Applicant Company No.2, the requirement of convening the meeting Secured Creditors does not arise.

ii. In relation to the Transferor Company No 2 /Applicant Company No.2:

(a) The meeting of the Equity Shareholders of Transferor Company No 2/ Applicant Company No. 2 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

(b)) Since, there are no Preference Shareholders in the Transferor Company No.2/Applicant Company No. 2, the requirement of convening the meeting Secured Creditors does not arise

(c) Since, there are no Secured Creditors in the Transferor Company No 2/ Applicant Company No.2, the requirement of convening the meeting Secured Creditors does not arise.

(d) The meeting of the Unsecured Creditors of the Transferor Company No.2/Applicant Company No.2 is dispensed herewith, keeping in view that sole Unsecured Creditor has given his consents by way of affidavit.

iii. In relation to the Transferee Company/Applicant Company No.3:

(a) The meeting of the Equity Shareholders of Transferee Company/ Applicant Company No.3 is dispensed

herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

(b) Since, there are no Preference Shareholders in the Transferee Company/Applicant Company No.3, the requirement of convening the meeting of Preference Shareholders does not arise

(c) Since, there are no Secured Creditors in the Transferee Company/Applicant Company No.3, the requirement of convening the meeting Secured Creditors does not arise.

(d) Since, there are no Unsecured Creditors in the Transferee Company/Applicant Company No.3, the requirement of convening the meeting Secured Creditors does not arise.

20. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition as per law, with a direction that the Applicant Company shall make specific prayer for sending notices to the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies,

Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department by disclosing the PAN numbers of the Applicant Companies as mentioned in the Memo of Parties of the Second Motion Petition.

21. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

22. That appropriate prayer would also be made in the second motion petition for publication in newspaper.

23. With the aforesaid directions, the First Motion Application bearing CA (CAA) No.12/ALD/2023 is disposed of accordingly.

24. Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities with Registry.

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(ASHISH VERMA)
MEMBER (TECHNICAL)

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(PRAVEEN GUPTA)
MEMBER (JUDICIAL)

2nd June, 2023

Aditi Kharbanda
(LRA)